

**Specimen Mortality Rates: Indian Assured Lives Mortality (2006-08) Ultimate Table**

Age	Rates	Age	Rates
20	0.000888	45	0.002874
25	0.000984	50	0.004946
30	0.001056	55	0.007888
35	0.001282	60	0.011534
40	0.001803	65	0.017009

Specimen Mortality rates: Indian Individual Annuitant's Mortality Table (2012-15)

Age	Rates
60	0.006349
65	0.010070
70	0.016393
75	0.027379
80	0.046730

4. Unrecognized items**(a) Contingent Liabilities****I. Claims against the company not acknowledged as debt**

(₹ in Crore)

Sl. No.	Particulars	Central Government Dept./ Agencies	State Government Dept./ Agencies and other local authorities	Central Public Sector Enterprises	Others	Total
1	Opening as on 01.04.2022	2,149.79	17,976.32	—	542.07	20,668.18
2	Addition during the year	73.03	318.32	—	0.34	391.69
	Claims settled during the year					
	a. From opening balance	2.46	14,112.85	—	4.81	14,120.12
3	b. Out of addition during the period	—	0.27	—	—	0.27
	c. Total claims settled during the year (a+b)	2.46	14,113.12	—	4.81	14,120.39
4	Closing as on 31.03.2023	2,220.36	4,181.52	—	537.60	6,939.48

Demand for alleged, Production of coal beyond Environmental Clearance Limit:

Considering the judgment of the Hon'ble Supreme Court of India in the case of Common Cause vs. UOI and Others (W.P. (C) No. 114 of 2014), District Mining Officers of Jharkhand, have issued demand notices in respect of 42 projects, alleging that production in those projects exceeded the available Environmental Clearances limits and demanded compensation for the said violation. The total demand raised as on dated in the said matter is ₹ 13,568.50 Crore (P.Y. ₹ 13568.50 Crore). The Company has filed revision petition against the above demands, before the Hon'ble Coal Tribunal, Ministry of Coal, Govt. of India, the adjudicating authority under the MMDR (i.e. Mines and Minerals Development Regulations) Act, 1957. The Revisional Authority, Ministry of Coal, Govt. of India vide their interim order dated 16.01.2018 has admitted the revision application and stayed the execution of the demand orders till further order.



A similar demand notice has also been issued by District Mining Officer (DMO), Bokaro, Jharkhand in the matter of Damodar Valley Corporation (DVC) considering the above case matter for the alleged violations. However, the Revisional Authority, Ministry of coal, Govt. of India vide its order dated 21/12/2021 has set aside the compensation demand order passed by DMO. The Revisional authority has noticed that there is no proper factual examination after following due process, proper compensation determination methodology and opportunity to be heard. The said Authority further observed that it would be appropriate to form a committee of expert to examine factual position, legal issues and to give proper opportunity of hearing before arriving at any decision in the said matter.

Considering the above developments in the said case matter, the Company evaluated that the demand notices of compensation issued by DMO against the Company is also not tenable.

Further, the possibility of an outflow of resources in the settlement is remote and accordingly, the same has not been considered as contingent liability for the purpose of reporting.

Nature wise details of contingent liability is shown below:

(₹ in Crore)

Sl.No.	Particulars	31.03.2022	31.03.2023
1	Central Government :		
	Income tax	1,050.80	1,113.92
	Central Excise	153.83	154.28
	Clean Energy Cess	941.66	941.66
	Service Tax	3.51	10.50
	Others	—	—
	Sub - Total	2,149.79	2,220.36
2	State Government and Local Authorities:		
	Royalty	2,365.64	2,363.24
	Environment Clearance/ Holding tax	13,568.50	—
	Sales Tax / VAT	1,452.84	1,282.91
	Entry Tax	25.00	25.00
	Electricity Duty	88.96	58.54
	MADA	475.37	420.73
	Others (Environment Compensation)	—	31.10
	Sub - Total	17,976.32	4,181.52
3	Central Public sector Enterprises		
	Arbitration Proceedings	—	—
	Suit against the company under litigation	—	—
	Others	—	—
	Sub- Total	—	—
4	Others :		
	Miscellaneous	542.07	537.60
	Sub- Total	542.07	537.60
	TOTAL	20,668.18	6,939.48

**II. Guarantee**

Bank guarantee issued as on 31.03.2023: ₹ 476.36 Crore (P.Y ₹ 433.11 Crore).

III. Letter of Credit

Outstanding Letters of Credit as on 31.03.2023: ₹ NIL (P.Y ₹ NIL).

IV. Commitments

Capital Commitment for estimated amount of contracts remaining to be executed and not provided for as on 31.03.2023: ₹ 5667.65 Crore (P.Y ₹ 3881.83 Crore).

Other Commitment as on 31.03.2023: ₹ 4,737.89 Crore (P.Y ₹ 9,783.74 Crore).

5. Group Information

Name	Principal activities	Country of Incorporation	% Equity Interest	
			31st March, 2023	31st March, 2022
Coal India Limited (Holding Company)	Mining & Production of Coal	India	100%	100%
Jharkhand Central Railway Ltd.(Subsidiary Company)	Development of Railway Infrastructure in Jharkhand	India	64%	73.67%

6. Other Information

Additional Information, as required under Schedule III to the Companies Act, 2013, of enterprises consolidated as Subsidiary / Associates / Joint Ventures.

Name of Enterprises	Net Assets i.e. Total Assets minus Total Liabilities		Share in profit or loss		Share in Other Comprehensive Income	
	As % of consolidated net assets	Amount(₹ In Crore)	As % of consolidated Profit or Loss	Amount (₹ In Crore)	As % of consolidated Other Comprehensive Income	Amount (₹ In Crore)
Central Coalfields Limited	96.59	9,971.96	99.87	2,751.67	100.00	177.59
Jharkhand Central Railway Limited	5.28	545.05	0.20	5.41	—	—
Less:- Minority Interests in all subsidiaries	1.87	192.87	0.07	1.94	—	—
Total	100.00	10,324.14	100.00	2,755.14	100.00	177.59


(a) Provisions

The position and movement of various provisions as per Ind AS-37 except those relating to employee benefits which are valued actuarially, as on 31.03.2023 are given below:

(₹ in Crore)

Provisions	Opening Balance as on 01.04.2022	Addition during the year	Write back/Adj/ Paid during the year	Unwinding of Discount	Closing Balance as on 31.03.2023
Note 3:- Property, Plant and Equipments :					
Impairment of Assets :	62.26	3.93	(0.99)	—	65.50
Note 4:- Capital Work in Progress :					
Against CWIP : (Impairment)	18.28	3.92	(6.75)	—	15.45
Note 5:- Exploration And Evaluation Assets :					
Provision and Impairment :	0.46	1.55	—	—	2.01
Note 8:- Loans :					
Other Loans :	—	—	—	—	—
Note 9:- Other Financial Assets:					
Other Deposits and Receivables	—	—	—	—	—
Security Deposit for utilities Current	—	—	—	—	—
Account with Subsidiaries Claims &	—	—	—	—	—
other receivables	14.37	—	—	—	14.37
Note 10:- Other Non-Current Assets					
Capital Advance	0.08	—	(0.08)	—	0.00
Note 11:- Other Current Assets					
Advance payment of statutory dues	0.89	—	(0.89)	—	—
Other Advances and Deposits	21.24	—	(1.79)	—	19.45
Note 13:- Trade Receivables :					
Provision for bad & doubtful debts:	288.26	92.13	—	—	380.39
Note 21 :- Non-Current & Current Provision :					
Ex- Gratia	250.70	258.44	(250.70)	—	258.44
Performance Related Pay	178.07	155.55	(65.33)	—	268.29
Provision for National Coal Wage Agreement XI	123.30	1221.28	—	—	1344.58
Provision for Executive Pay	—	—	—	—	—
Revision Others	—	—	—	—	—
Site Restoration/Mine Closure	982.09	—	(128.38)	75.44	929.15

**(b) Segment Reporting**

The group is primarily engaged in a single segment business of production and sale of Coal. The income from interest and other income is less than 10% of the total revenue; hence no separate segment is recognized for the same.

(c) Earnings per share

Sl. No.	Particulars	For the year ended 31.03.2023	For the year ended 31.03.2022
(i)	Net profit after tax attributable to Equity Share Holders	2,755.14	1,698.41
(ii)	Weighted Average no. of Equity Shares Outstanding	94 Lakhs	94 Lakhs
(iii)	Basic and Diluted Earnings per Share in Rupees (Face value ₹1000/-per share)	2,931.00	1,806.82

(d) Related Party Disclosures**Post-Employment Benefit Fund:**

- i. Group Gratuity Cash Accumulation Plan with LIC.
- ii. New Group Gratuity Cash Accumulation Plan with LIC (for employees joining after 01.04.2014).
- iii. New Group Leave Encashment Scheme with LIC.
- iv. Coal Mines Provident Fund (CMPF).
- v. Contributory Post-Retirement Medical Scheme for Executive Trust
- vi. CIL Executive Defined Contribution Pension Scheme-2007

List of Related Parties of the Group**(i) Holding Company**

Coal India Limited (CIL)

(ii) Sister Companies

1. Eastern Coalfields Limited (ECL)
2. Bharat Coking Coal Limited (BCCL)
3. Western Coalfields Limited (WCL)
4. South Eastern Coalfields Limited (SECL)
5. Northern Coalfields Limited (NCL)
6. Mahanadi Coalfields Limited (MCL)
7. Central Mine Planning and Design Institute Limited (CMPDIL)

(iii) Related Parties of the Subsidiary Company (JRCL)

1. IRCON International Limited
2. Government of Jharkhand


Transaction with Related Parties

(₹ in Crore)

Name of Related Parties	Loan to Related Parties	Loan from Related Parties	Apex Charges	Rehabilitation Charges	Lease Rent Income	Interest on Funds parked	IICM charges	Other / Investment	Current Account Balances (payable) receivable	Outstanding Balances (payable) receivable
Coal India Limited (CIL)	—	—	179.57	45.02	—	—	—	342.77	(12.47)	—
Central Mine Planning and Design Institute Limited (CMPDIL)	—	—	—	—	—	—	—	227.60	—	(146.43)
IICM Charges	—	—	—	—	—	—	7.62	—	—	(1.24)

Key Managerial Personnel
(A) Central Coalfields Limited

Sl.	Name	Designation	W.e.f
1	Shri Mallikharjuna Prasad Polavarapu	Chairman-cum-Managing Director	01.09.2020
2	Shri Ram Baboo Prasad	Director (Technical/Operations)	14.05.2022
3	Shri S.K. Gomasta	Director (Technical/P&P)	01.11.2021 to 25.10.2022
4	Shri B. Sairam	Director (Technical/P&P)	26.10.2022
5	Shri K.R. Vasudevan	Director (Finance)	01.07.2021 to 09.06.2022
6	Shri Pawan Kumar Mishra	Director (Finance)	10.06.2022
7	Shri Harsh Nath Mishra	Director (Personnel)	24.08.2022
8	Ms. Santosh, Dy. Director General, MoC	Government Nominee Director	03.01.2022 to 21.02.2023
9	Shri Ajitesh Kumar	Government Nominee Director	22.02.2023
10	Shri Vinay Ranjan	Government Nominee Director	05.08.2021
11	Shri Ramesh Kumar Soni	Independent Director	01.11.2021
12	Shri Ravi Prakash	Company Secretary	13.07.2017 to 30.08.2022
13	Shri Amaresh Pradhan	Company Secretary	31.08.2022

**(B) Jharkhand Central Railway Limited (Subsidiary of Central Coalfields Limited)**

NAME OF DIRECTOR/ KMP	DESIGNATION	DATE OF APOINTMENT
B. Sairam	Chairman, JCRL	23.11.2022
S.K. Gomasta (Resigned)	Chairman, JCRL	19.01.2022 to 23.11.2022
Ashok Kumar Goyal (Resigned)	Director	01.10.2021 to 11.10.2022
Pranav Kumar (Resigned)	Director	12.10.2021 to 01.06.2022
Ramesh Jha (Resigned)	Director	01.01.2022 to 19.12.2022
Ravi Shankar Vidyarthi (Resigned)	Director	02.03.2020 to 13.03.2023
Abhijit Narendra (Resigned)	Director	20.01.2020 to 09.05.2022
Shashank Shekhar Jha	Director	15.06.2018
Pawan Kumar Mishra	Director	19.12.2022
Priya Ranjan Parhi	Director	09.05.2022
Pradeep Kumar	Director	13.03.2023
Parag Verma	Director	11.10.2022
Ragini Adwani	Director	01.06.2022
R.K. Mishra	CEO	29.01.2022
Pradeep Kumar Singh	CFO	29.01.2022
Shreya	Company Secretary	29.04.2022

Remuneration of Key Managerial Personnel**(A) Central Coalfields Limited**

(₹ in Crore)

Sl. No.	Payment to CMD, Whole Time Directors and Company Secretary	For the year ended 31.03.2023	For the year ended 31.03.2022
i)	Short Term Employee Benefits		
	Gross Salary	2.63	1.49
	Medical Benefits	—	—
	Perquisites and other benefits	—	—
ii)	Post-Employment Benefits		
	Contribution to P.F. & other fund	0.17	0.12
	Actuarial valuation of Gratuity Actuarial valuation	0.53	0.12
	Leave Encashment	1.34	0.48
	Contribution to NPS	0.09	0.07
iii)	Termination / Retirement Benefits	0.00	0.79
	TOTAL	4.76	3.07

**(B) Jharkhand Central Railway Limited (Subsidiary of Central Coalfields Limited)**

KMP	PARTICULARS	For the year ended 31.03.2023	For the year ended 31.03.2022
Company Secretary	Gross Salary	0.05	—
	Contribution of EPF	—	—
Chief Executive Officer	Gross Salary	0.14	0.02
	Contribution of EPF	—	—
TOTAL		0.19	0.02

Note:

Besides above, whole time Directors have been allowed to use company cars for private journey upto a ceiling of 1000 KMs on payment of ₹2000 per month as per service conditions.

Payment to Independent Directors

(₹ in Crore)

Sl. No.	Payment to Independent Directors	For the year ended 31.03.2023	For the year ended 31.03.2022
i)	Sitting Fees	0.09	0.21

Balances Outstanding with Key Managerial Personnel as on 31.03.2023

(₹ in Crore)

Sl. No.	Particulars	As on 31.03.2023	As on 31.03.2022
i)	Amount Payable	—	—
ii)	Amount Receivable	—	—

e) Recent Accounting Pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On March 23, 2023, MCA amended the Companies (Indian Accounting Standards) Amendment Rules, 2023. The effective date for adoption of this amendment is annual periods beginning on or after April 1, 2023. The amendments are as below:

- Ind AS 1 – Presentation of Financial Statements – This amendment required the entities to disclose their material accounting policies rather than their significant accounting policies. The Group does not expect this amendment to have any significant impact in its financial statements.
- Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors – This amendment has introduced a definition of 'accounting estimates' and included amendments to Ind AS 8 to help entities distinguish changes in accounting policies from changes in accounting estimates. The Group has evaluated the amendment and there is no impact on its consolidated financial statements.
- Ind AS 12 – Income Taxes – This amendment has narrowed the scope of the initial recognition exemption so that it does not apply to transactions that give rise to equal and off setting temporary differences. The Group does not expect this amendment to have any significant impact in its financial statements.



f) Goods procured by Coal India Ltd. on behalf of Subsidiaries

As per existing practice, goods purchased by Coal India Ltd. on behalf of subsidiary companies are accounted for in the books of respective subsidiaries directly.

g) Insurance and escalation claims

Insurance and escalation claims are accounted for on the basis of admission/final settlement.

h) Provisions made in the Accounts

Provisions made in the accounts against slow moving/non-moving/obsolete stores, claims receivable, advances, doubtful debts etc. are considered adequate to cover possible losses.

i) Current Assets, Loans and Advances etc.

In the opinion of the Management, assets other than fixed assets and non-current investments have a value on realisation in the ordinary course of business at least equal to the amount at which they are stated.

j) Current Liabilities

Estimated liability has been provided where actual liability could not be measured.

k) Balance Confirmations

Balance confirmation/reconciliation is carried out for cash & bank balances, certain loans & advances, long term liabilities and current liabilities. Provision is taken against all doubtful unconfirmed balances.

l) Significant accounting policy

Significant accounting policy (Note-2) has been prepared to elucidate the accounting policies adopted by the group in accordance with Indian Accounting Standards (Ind ASs) notified by Ministry of Corporate Affairs (MCA) under the Companies (Indian Accounting Standards) Rules, 2015.

m) Leases

- i) Punjab State Electricity Board, in terms of lease agreement, has been granted a right to use 15.50 acres of land of the company. The cost of gross carrying amount of the asset is ₹ 7.90 Crores (PY ₹ 7.90 Crore) and progressive depreciation there on is ₹ 7.90 Crores (PY ₹ 7.90 Crore) and WDV is Nil (PY ₹ Nil). The future minimum lease payment receivable in aggregate for balance period of lease is ₹ 2.58 Crores. The details of future lease payments receivable are as under:



(₹ in Crore)

Particulars		As at 31.03.2023	As at 31.03.2022
(I)	Not later than one year	0.21	0.19
(II)	Later than one year and not later than five years	0.86	0.77
(III)	Later than five years and till the period of lease	1.51	1.83
Total		2.58	2.79

- ii) EIPL, in terms of lease agreement, has been granted a right to occupy and use the Land of the company. The cost of gross carrying amount of the asset is ₹ 4,968 (PY ₹ 4,968) and progressive depreciation there on is ₹ 4,968 (PY ₹ 4,968) and WDV is Nil (PY ₹ Nil). The future minimum lease payment receivable in aggregate for balance period of lease is ₹ 0.90 Lakhs. The matter is pending before the Ld. Arbitrator.

n) Segment Reporting

In accordance with the provisions of Ind AS 108 'operating segment', the operating segment used for presenting segment information are identified based on internal report used by Board to allocate resources to the segment and assess their performance. The Board is the group of Chief operating decision maker within the meaning of Ind AS 108.

The Board considers a business from the prospect of significant product offering and accordingly has decided that presently there is one single reportable segment being sale of Coal. Information of financial performance and assets are presented as the consolidated information in the statement of profit and loss and balance sheet.

Revenue by destination is as follows:

(₹ in Crore)

Particulars	India	Other countries
Revenue (Net)	15,226.21	NIL

Revenue by customer is as follows:

(₹ in Crore)

Customers having more than 10% of Revenue (Net)	Amount	Country
Customer - 1	2,236.34	India
Customer - 2	1,511.43	
Others	11,678.44	
Total Revenue (Net)	15,226.21	

Current Assets by location are as follows:

(₹ in Crore)

Particulars	India	Other countries
Current Assets	12,042.35	NIL



o) Disaggregated Revenue information

(₹ in Crore)

Particulars	For the year ended 31.03.2023	For the year ended 31.03.2022
Types of Goods or Service		
- Coal	15,226.21	12,352.13
- Others	—	—
Total Revenue from Contract with Customers	15,226.21	12,352.13
Types of Customers		
- Power Sector	9,658.51	8,444.78
- Non-Power Sector	5,567.70	3,907.35
- Others or Services (CMPDIL)	—	—
Total Revenue from Contract with Customers	15,226.21	12,352.13
Types of Contracts		
- FSA	11,522.80	10,053.58
- E-Auction	3,703.41	2,298.55
- Others	—	—
Total Revenue from Contract with Customers	15,226.21	12,352.13
Timing of Goods or Services		
- Goods transferred at a point of time	15,226.21	12,352.13
- Goods transferred over time	—	—
- Services transferred at a point of time	—	—
- Services transferred over time	—	—
Total Revenue from Contract with Customers	15,226.21	12,352.13



p) Ratios

Ratios	For the year ended 31.03.2023	For the year ended 31.03.2022
Current Ratio	1.31	1.37
Inventory Turnover Ratio	11.49	9.36
Receivable Turnover Ratio	5.32	5.51
Trade Payable Turnover Ratio	2.19	1.87
Net Capital Turnover Ratio	1.63	1.56
Net Profit Ratio(%)	18.11	13.75
Return on Capital Employed	0.22	0.15
Return on Equity (ROE)	0.29	0.22
Return on Investment (ROI)		
(d) ROI on Equity Investment in Unlisted Subsidiaries	—	—
(e) ROI on Mutual fund		
(f) ROI on deposits (with Banks, Fis incl ICDs)	0.07	0.28
	0.06	0.04

Current Ratio: The Current ratio is a liquidity ratio the measures the current resources to meet its short- term obligations. Current ratio has been calculated as Current Assets divided by current liabilities.

Inventory Turnover Ratio: Inventory turnover is a financial ratio showing how many times inventory has been sold during a given period. Inventory Turnover is calculated by Divided Cost of Goods Sold/ Average value of Inventory. Where, Cost of Goods Sold = (Total Expenditure – Finance cost – Write off- provision –Corporate Social Responsibility Expenses- Stripping Activity Adjustment).

Receivables Turnover Ratio: The receivables turnover ratio is an accounting measure used to quantify a company's effectiveness in collecting its accounts receivable, or the money owed by customer. Account receivables Turnover = Gross Credit Sales/ Average trade recivables.

Trade Payable Turnover Ratio: Trade payable turnover shows how many times a company pays off its accounts payable during a period. Trade Payables turnover Ratio = Total Purchases/ average Trade payables).

Net Capital Turnover: Net Capital turnover is the measure that indicate organization's efficiency in relation to the utilization of capital employed in the business and it has been calculated as a ratio of total annual turnover divided by the total amount of stockholder's equity (Share Capital+ other equity).

Net Profit Ratio: Net profit as a percentage of Net Sales.

Return on Capital Employed: Earnings before interest and text (EBIT) / Capital employed, where capital employed is total of Assets- current liabilities.

Return on equity Ratio: Return on equity (ROE) is a measure of financial performance calculated by dividing net income by Average Shareholder's equity. Where Net income is Profit after tax for the period, average Shareholder's equity = (Opening Equity + Closing Equity)/2.

Return on Investment: Return on Investment (ROI) is a financial ratio used to calculate the benefit received by the company in relation to its investment cost. The higher the ratio, the greater the benefit earned.

- I. ROI on Equity Investment in Unlisted Subsidiaries: Dividend / Average Investment in Equity of Subs.
- II. ROI on Mutual fund = Dividend + Capital gain + Fair value gain (Loss) / Average Investment.
- III. ROI on deposit (with Bank, FDs incl ICDs) = Interest income / Average Investment.



7. GENERAL

- 7.1 Refund/Adjustment of tax from Tax Authorities are accounted for on cash basis. Additional demand for Income Tax, Royalty, Cess, Sales Tax, Vat /Entry Tax etc. are accounted for after receipt of final order except as otherwise not recognized under IND AS-37.
- 7.2 (a) There is a long pending dispute over increased capitalization cost of Rajrappa and Giddi Captive Power Plant, commissioned by EIPL (Eastern India Powertech Limited formerly known as DLF Power Limited) on Built Own and Operate (BOO) basis and the dispute is pending in Civil Appeal No. 7403 of 2009, filed by the Company before the Hon'ble Supreme Court against the Order dated 31.07.2009 of the Jharkhand State Electricity Regulatory Commission subsequently confirmed by the Appellate Tribunal also.
- (b) Pursuant to Interim Orders of the Hon'ble Supreme Court dated 14.09.12 and 23.11.12 passed in the said Appeal, the Company accounted for a liability of ₹ 94.33 Crores for the period ending till 31/03/2008 in FY 2012-13 and an amount of ₹ 83.03 Crores was paid to EIPL after carrying out eligible deduction. Further, an ad-hoc payment of ₹ 75 Crores and ₹ 25 Crores were also made on 20.11.13 and 10.01.14 respectively as per directives of the Hon'ble Supreme Court. Further, as directed by the Hon'ble Supreme Court revised amount payable from April'2008 to March'2014 was calculated based on the methodology adopted by JSERC in determining the revised tariff up to the period ending March'2008. Accordingly, an amount of ₹ 23.25 Crores was provided during the financial year 2013-14 in addition to ₹ 94.33 Crores as stated above. Further, the additional liability provided for FY 2014-15 and FY 2015-16 is ₹ 3.26 Crores and ₹ 0.26 Crores respectively.

The details of balance receivable amount from EIPL further summarized are as under:

		(₹ in Crore)
(i)	Differential Tariff for the period upto March 2008 in respect of which liability has been provided in the Financial Statements of 2012-13.	94.33
(ii)	Differential Tariff for the period April 2008 to March 2014 in respect of which liability has been provided in the year 2013-14.	23.25
(iii)	Old keep back amount in respect of deemed energy charges	31.36
(iv)	Differential tariff for the year 2014-15	3.26
(v)	Differential tariff for the year 2015-16 (Rajrappa Area)	0.26
	Total	152.46
(vi)	Less : Ad-hoc payment (as per Order of the Hon'ble Supreme Court)	183.03
(vii)	Net Balance amount (shown in Note-9 under the head Claims & Other Receivables)	30.57

However, EIPL has submitted a total demand for ₹ 302.63 Crores on 17.09.2012 including ₹ 134.20 Crores on account of interest on delayed payment which is beyond the purview of PPA as the delayed payment was never agreed in the said PPA. The total demand of EIPL excluding delayed payment is ₹ 168.43 crore, whereas, the Company has already released an adhoc payment of ₹ 183.03 crore as stated above. The matter is still pending before the Hon'ble Supreme Court.

- (c) As per clause 1.18.3 of the Power Purchase Agreement with M/s. EIPL, from the date of expiry of one year from commissioning of the respective power plant, increase/decrease of fuel components of tariff due to variation in fuel cost shall be determined. The initial price of rejects as per clause 1.14 of PPA was ₹ 90 per tonne.



Accordingly, calculation was made as per clause 1.18.3 of PPA and additional revenue receivable on account of revision in price of rejects net off with additional tariff payable on account of revised tariff due to increase in fuel cost was considered in the Financial Statements for the year 2013-14 and supplementary bill to EIPL was also raised.

Subsequently, in FY 2014-15, the price of rejects was again revised based on the recommendations of the CCL standing committee of Sales and Marketing department and the same was communicated to Director(Operations) of DLF Ltd. vide letter Ref. No. GM(E&M)/DLF/14/ 3530-36 dated. 17.11.2014. As per letter, G grade slack coal price which was the lowest grade under UHV system of pricing applicable prior to 01.01.2012 became chargeable for the period from July, 2000 to December, 2011 from EIPL. Consequent upon the issue of above letter, Sales bill and power tariff both were revised.

As on 31.03.2016, the amount receivable from EIPL on account of supply of rejects after adjusting enhanced tariff was ₹ 38.69 Crores. Further a provision of ₹ 1.64 Cr. Was also made in the FY 2016-17 and accordingly, the total amount recoverable is ₹ 40.33 Crore.

As per clause 2.6 of the Power Purchase Agreement dated. 8th February, 1993, in the event of any dispute arising out of or in relation to the agreement, the same shall be referred to the sole arbitration of an arbitrator mutually acceptable to CIL & EIPL as per provisions of Arbitration Act. However, as the parties to the agreement failed to mutually agree to the appointment of an arbitrator, the petitioner (CCL) was left with no alternative but to move to the Hon'ble High Court for appointment of an arbitrator in exercising powers under section 11(6) of the Arbitration and Conciliation Act, 1996. As such the Arbitration Application was filed on 7th April, 2016. The Hon'ble High Court of Jharkhand during 2017-18, has appointed Ld. Arbitrator as per Agreement to settle the dispute. Hearing is still pending before Ld. Arbitrator in the said matter.

- 7.3 Theft of goods during the year is ₹ 0.25 Crores (Previous year ₹ 0.25 Crores).
- 7.4 Inventory of Stores & Spares are being physically verified by Store Auditors at due intervals. The verification has been complete for March-2022.
- 7.5 A) Consequent upon the agreement made with Coal India Limited and President of India for allocation of coal block Kotre Basantpur and Panchmo Coal Blocks under Coal Mines (Special Provisions) Act, 2015, and subsequent allocation to CCL for operation and commercial use of mines, the company (CCL) has deposited 75% of Upfront fees amounting to ₹ 30.97 Crores and fixed amount for ₹ 9.91 Crores as security deposit and has furnished a Performance Bank Guarantee (Performance Security) amounting to ₹ 286.14 Crores, in designated bank account of Nominated Authority for allotment. ₹ 40.88 Crores (upfront fees ₹ 30.97 Crores and Security deposit ₹ 9.91 Crores) is appearing under Exploration Evaluation Assets in Note-5. As the conditions of prescribed guidelines for making payment of 3rd instalment have not yet been fulfilled, the balance amount of ₹ 10.33 Crores is shown under Capital Commitment.

**B) Other Bank Guarantees:**

Sl. No.	In favour of	Project & Area	Amount (₹ in Crore)
(i)	Member Secretary, Jharkhand State Pollution Control Board in compliance with the notification Dated 14.03.2017 of Ministry of Environment & Forest	Selected Dhorri GoM, Dhorri Area	140.9
(ii)	Member Secretary, Jharkhand State Pollution Control Board in compliance with the notification Dated 14.03.2017 of Ministry of Environment & Forest	Karo OCP, B&K Area	4.87
(iii)	Assistance Electrical Engineer, Electrical Supply Sub Station Chatra JBVNL against load sanction order no 1957/ESE(S) Hazaribagh dt 22.11.2019 & 1955/ESE(S) Hazaribagh dt 22.11.2019 issued by Electrical Supdt. Engg. Electrical Supply Circle, Hazaribagh	Amarpali OCP, A&C Area	0.54
(iv)	Assistance Electrical Engineer, Electrical Supply Sub Station Chatra JBVNL against load sanction order no 2259/ESC Daltonganj dt 28.11.2019 issued by Electrical Supdt. Engg. Electrical Supply Circle, Daltonganj	Magadh OCP, M&S Area	0.27
(v)	Member Secretary, Jharkhand State Pollution Control Board against implementation of the remediation plan and natural and community resource augmentation plan	Kathara OCP, Kathara Area	20.33

7.6 Against the demand of Income Tax Department regarding TCS from Road Sales Customers under section 206 C of the Income Tax Act, 1961, amounting to ₹ 106.56 Crore, the department has collected ₹ 71.79 Crore by attaching the bank account of the group and the balance amount of ₹ 34.77 Crore has been deposited by the company. The group in turn has recovered ₹ 77.53 Crore from the customers as on balance sheet date and the balance ₹ 27.99 Crore is under process of recovery.

Susequently, the case was disposed by CIT(A) and against the said order CCL preferred an appeal before the ITAT since the order issued by CIT(A) was non-speaking in nature. ITAT in its order dated 23.01.2023 given verdict in favour of CCL and allowing all grounds raised by the CCL.

7.7 CCL used to supply Washed Medium Coking Coal (WMCC) to M/S SAIL & RINL at the price mutually agreed in MOU (Memorandum of undertakings) entered between CCL & SAIL / RINL, duly signed by the representatives of CCL and SAIL (Steel Authority of India Limited) / RINL (Rashtriya Ispat Nigam Limited, also known as Vizag Steel). The last such MOU executed was valid for FY 2016-17 i.e. up to 31.03.2017 and the agreed price applicable for FY 2016-17 was ₹ 5,780/- per tonne. As per CIL's (Coal India Limited) direction, CCL notified the price of WMCC considering the doctrine of Import Parity as envisaged by New Coal Distribution Policy (NCDP) of the Government. However, both SAIL and RINL had raised their concerns in the said matter i.e. unilateral price revision as against agreed price mechanism. Thereafter, several letters including discussions have been exchanged between these parties (CCL, SAIL and RINL), but no consensus has been agreed in the said matter. However, a mutually agreed ad-hoc price @ ₹ 6,500/- per tonne has been implemented w.e.f. 28/07/2018 after several rounds of persuasion in the said matter and further agreed to implement pricing on import parity price mechanism on the recommendation of an independent agency. However, no concrete progress in the said matter has been achieved in the said matter till date.

7.8 The Secretary to Government, Revenue, Registration and Land Reforms Department, Government of Jharkhand vide his Letter No. 5/Sa.Bhu (CCL) Ramgarh- 303/2012-519 (5)/Ra. Dated 07/02/2020 to The Chairman, Coal India limited has raised a demand of ₹ 26218.15 crores against 36179.30 acres of Government land under the command area of CCL. The demand comprises of Rent, Cess and Salami as lease bandobasti of land for lease period.

Land is acquired by CCL as per notification issued by Central Government under Section 9(1) of CBA (A&D) Act, 1957 and physical possession is taken under Section 12 of CBA (A&D) Act, 1957 which is free from all encumbrances.



Accordingly, CCL didn't agree with the demand raised by state government. However, the company as per the provisions of Section 13(5) in the Coal Bearing Areas (Acquisition and Development) Act, 1957 agrees to pay land compensation at present rural agricultural circle rate against Govt. Land to the Govt. of Jharkhand. The tentative liability for land compensation based on present rural agricultural rate comes to ₹ 778.62 Crore for 5,392.75 acres of Govt land which is subject to verification by district officials and CCL released an adhoc payment of ₹ 1990.77 Crore. The tentative liability of ₹ 778.62 Crore has been capitalised as Other Land under PPE. (Refer to Note -3 of financial statements).

- 7.9 Pending clearance of CTO & CTE in respect of Religara OC, Laiyo – Jharkhand OC OBR accounting has not been considered as per revised Stripping Ratio, and Since there is no production in Kedla Open Cast Project OBR accounting has not been done.

The revision of stripping ratio of mines due on 2022-23 has been taken up by the management and the technical assessment of such revision is under process.

- 7.10 Surface Transportations Charges for lead range of 0 to 3 km charged by the company has disputed by some of the plants of NTPC. CCL has moved to AMRCD through Coal India Limited for resolution of dispute. Coal India has raised the issue before Ministry of Coal vide its letter No. CIL/M&S/22-23/389 dt 10.10.2022 for scheduling of AMRCD meeting at an early date. As the matter is pending with AMRCD no provision has been considered against disputed amount of ₹ 1.94 Cr.

- 7.11 CCL has paid ₹ 600.66 crore as interim dividend for FY 2022-23 (PY 2021-22 ₹ 404.20 crore as interim dividend and further ₹ 423.00 crore paid as final dividend for FY 2021-22). The Board of Directors proposed / recommended final dividend for FY 2022-23 of ₹ 423.00 crore, which will be recognized as distribution to owners during FY 2023-24 on its approval by the Shareholders in Annual General Meeting. The dividend per share amounts to ₹ 639/- towards interim dividend and ₹ 450/- towards proposed final dividend, total ₹ 1089/- per share for FY 2022-23 (PY interim dividend per share amounts to ₹ 430/- and ₹ 450/- per share dividend, total ₹ 880/- per share).

Others

- Previous year's figures have been restated, regrouped and rearranged wherever considered necessary.
- Previous Year's figures in Note No. 3 to 38 are in brackets.
- Note –1 and 2 represents Corporate information and Significant Accounting Policies respectively, Note 3 to 23 form part of the Balance Sheet as at 31st March, 2023 and 24 to 37 form part of Statement of Profit & Loss for the period ended on that date. Note – 38 represents Additional Notes to the Financial Statements.

In terms of our Report of even date

For and on Behalf of the Board

For SPAN & ASSOCIATES.
Chartered Accountants
(Firm Registration no. 302192E)

Sd/-
(P. M. Prasad)
Chairman-cum-Managing Director
DIN 08073913

Sd/-
(Pawan Kumar Mishra)
Director (Finance)
DIN- 09665365

Sd/-
CA. K. Chakrabarti
Partner
Membership no. 015363

Sd/-
(Rajendra Singh)
General Manager(Finance)

Sd/-
(Amresh Pradhan)
Company Secretary
Membership no. F-11264

Place : Ranchi

Dated : 27th April, 2023



MANAGEMENT REPLY TO STATUTORY AUDITOR'S REPORT FY 2022-23 (CONSOLIDATED)

AUDITORS' REPORT	MANAGEMENT'S REPLY
To The Members Central Coalfields Limited Report on the Audit of Consolidated Ind AS financial statements Opinion On the basis of audit queries made by the Comptroller & Auditor General of India, this revised audit report (Revising Annexure"A" referred to Paragraph 1 of Report on Other Legal and Regulatory Requirement Part-I Sl. No-i, Report on additional direction Part -II Sl. No 02 and Sl. No 03 under 143 (5) of the Companies Act, 2013) has been prepared in lieu of the earlier report dated 27th April 2023 to comply with observations issued by the Comptroller & Auditor General of India. We have audited the accompanying consolidated Ind AS financial statements of Central Coalfields Limited (hereinafter referred to as the 'Holding Company") and its subsidiary Jharkhand Central Railway Limited (Holding Company and its subsidiary together referred to as "the Group"), which comprise the consolidated Balance Sheet as at March 31, 2023, and the consolidated statement of Profit and Loss (including other comprehensive income), the consolidated statement of changes in equity and the consolidated cash flows Statement for the year then ended, and notes to the consolidated Ind AS financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated Ind AS financial statements"). In our opinion and to the best of our information and according to the explanations given to us and based on consideration of report of the other auditor, the aforesaid consolidated Ind AS financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of their consolidated state of affairs of the Group as at March 31, 2023, of consolidated profit, consolidated changes in equity and its consolidated cash flows for the year then ended.	



AUDITORS' REPORT	MANAGEMENT'S REPLY
Basis for Opinion We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Ind AS financial statements section of our report. We are Independent of the Company in accordance with the Code of Ethics issued by Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the consolidated Ind AS Financial statements under the provisions of the Companies Act, 2013 and the rules thereunder and we have fulfilled our other ethical responsibilities in accordance with these requirements and the code of ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.	
Emphasis of Matters	
We draw attention to the following matters:	
a) Other current assets (Note No 11), other non-current assets (Note No 10), trade payables (Note No 19), other financial liabilities (Note No 20) and other current liabilities (Note no. 23) are subject to confirmation. Our opinion is not modified in respect of this matter.	Balance confirmation letters have been issued to the parties in respect of trade receivables, trade payables and advances. The balances with major sundry debtors are reconciled at regular intervals and Joint Reconciliation Statements are also signed by both the parties.
b) Accumulated amount of Rs 1,455.57 crores under GST Input Tax credit is a case in reference under inverted duty structure. As per the Honorable Supreme Court decision for the refund under Inverted Duty Structure dated 13.09.2021, recoverability/ adjustability of the amount stands uncertain. Refer Note-11: Other Current Assets Our opinion is not modified in respect of this matter.	
c) Liability Written Back for the Financial Year 2022-23 amounts to Rs 352.32 crores. Refer NOTE 25: OTHER INCOME Our opinion is not modified in respect of the above matter.	It has been adequately disclosed in Note-25 to the Financial Statement.
Key Audit Matters	
Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Ind AS financial statements of the current period. These matters were addressed in the context of our audit of the Consolidated Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matter. We have determined the matters described below to be the key audit matters to be communicated in our report.	No Comments



AUDITORS' REPORT			MANAGEMENT'S REPLY
Sl.	Key Audit Matter	Auditor's Response	
1.	Stripping Activity Expense/ Adjustment In case of opencast mining, the mine waste materials ("overburden") which consists of soil and rock on the top of coal seam is required to be removed to get access to the coal and its extraction. This waste removal activity is known as 'Stripping'. In opencast mines, the company has to incur such expenses over the life of the mine (as technically estimated). Therefore, as a policy, in the mines with rated capacity of one million tons per annum and above, cost of Stripping is charged on technically evaluated average stripping ratio (OB:COAL) at each mine with due adjustment for stripping activity asset and ratio-variance account after the mines are brought to revenue.	Principal Audit Procedures: We performed the following substantive procedures: a) Obtained working data of Stripping Adjustment and checked that the total expense incurred during the year is allocated between Coal production and Overburden. Ensured about accuracy and completeness of expenses considered in calculation of ratio. b) Checked that the ratio variance is calculated on the basis of amount allocated to overburden and OB quantity extracted during the year correctly.	
	Net of balances of stripping activity asset and ratio variance at the Balance Sheet date is shown as Stripping Activity Adjustment under the head Non-Current Provisions / Other Non-Current Assets as the case may be. The reported quantity of overburden as per record is considered in calculating the ratio for OBR accounting where the variance between reported quantity and measured quantity is within the permissible limits. However, where the variance is beyond the permissible limits as above, the measured quantity is considered.	c) Performed analytical procedures and test of details for reasonableness of expenses considered in stripping activity adjustment calculation. Checked that the accounting policy applied and management's judgments used for Stripping Activity Adjustment are appropriate. Audit Conclusion: Our procedures did not identify any material exceptions.	No Comments



AUDITORS' REPORT		MANAGEMENT'S REPLY
Refer Note 21 to the Consolidated Ind AS Financial Statements. Ind AS 115 "Revenue from Contracts with Customers" In the standalone Ind AS financial statements in respect of accuracy of revenue recognition and adjustments for coal quality variances involves critical estimates. The revenue recognized by the Company in a particular contract is dependent on the sale agreement / allotment in e-auction for the respective customer. Subsequent adjustments are made to the transaction price due to grade mismatch/slippage of the transferred coal. The variation in the contract price if not settled mutually between the parties to the contract is referred to third party testing and the company estimates the adjustments required for revenue recognition pending settlement of such dispute. Such adjustments in revenue are made on estimated basis following historical trend. Refer to Note 24. to the Conclusion Ind AS Financial Statements.	Principal Audit Procedures: We have assessed the application of the provisions of Ind AS 115 in respect of the Company's revenue recognition and appropriateness of the estimated adjustments in the process. We have selected transactions on sample basis and tested for identification of contracts involving disputes relating to grade mismatch/ slippage with respect to the terms of the contract, evaluation of the satisfaction of performance obligation, checking the adjustment to the revenue due to variation in transaction price We have performed tests to establish the basis of estimation of the consideration and whether such estimates are commensurate with the accounting policy of the Company. Audit Conclusion: Our procedures did not identify any material exceptions.	No Comments
2	Information Other than the Consolidated Ind AS Financial Statements & Auditor's Report Thereon The Company's management and Board of Directors are responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexure to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the Consolidated Ind AS financial statements and our auditor's report thereon. Our opinion on the Consolidated Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the Consolidated Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Ind AS financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.	



AUDITORS' REPORT	MANAGEMENT'S REPLY
Responsibilities of Management and Those Charged with Governance for the Consolidated Ind AS financial statements The Holding Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these consolidated Ind AS financial statements that give a true and fair view of the financial position, financial performance, including other comprehensive income and cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act, read with relevant rules issued thereunder. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy & completeness of the accounting records, relevant to the preparation and presentation of the consolidated Ind AS financial statements that give a true and fair view and are free from material	
misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated Ind AS financial statements by the Directors of the Holding Company, as aforesaid. In preparing the consolidated Ind AS financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so. The respective Board of Directors of the companies included in the Group are responsible for overseeing the financial reporting process of the Group.	



AUDITORS' REPORT	MANAGEMENT'S REPLY
Auditor's Responsibility for the Audit of the Consolidated Ind AS Financial Statements Our objectives are to obtain reasonable assurance about whether the consolidated Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, Individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated Ind AS financial statements. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also: • Identify and assess the risks of material misstatement of Consolidated Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.	



AUDITORS' REPORT	MANAGEMENT'S REPLY
• Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls. • Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management. • Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Ind AS financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. • Evaluate the overall presentation, structure and content of the Consolidated Ind AS financial statements, including the disclosures, and whether the Consolidated Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation. Materiality is the magnitude of misstatements in the Consolidated Ind AS financial statements that, Individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Ind AS financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Ind AS financial statements. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.	



AUDITORS' REPORT		MANAGEMENT'S REPLY
We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding Independence, and communicated with them all relationships and other matters that may reasonably be thought to bear on our Independence, and where applicable, related safeguards. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Ind AS financial statements of the current period and are therefore the key audit matter. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest/benefits of such communication.		
Other Matter		
(a)	We did not audit the financial statements / financial information of subsidiary company, whose financial statements / financial information reflect total assets of ₹ 671.26 Cr. as at 31st March, 2023, total revenues of ₹ 8.26 Cr. and net cash flows amounting to ₹ 47.39 Cr. for the year ended on that date, as considered in the consolidated Ind AS financial statements. These financial statements / financial information have been audited by other auditors whose reports (revised) have been furnished to us by the Management and our opinion on the consolidated Ind AS financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, and our report in terms of sub-sections (3) and (11) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, is based solely on the reports of the other auditor.	No comments.
(b)	We have placed reliance on: - The mine closure plan prepared by the Central Mine Planning and Design Institute Limited (CMPDIL) and approved by the management of the CCL for the purpose of making provision towards Mine Closure expenses. - The Management's evaluation/estimates, whether technical or otherwise for making the provision towards impairment of fixed assets.	No comments. No comments.



(c)	As per Consolidated financial statement Advance from customers amounts to Rs 3063.62 crores (Note 23). However, there are also balances lying outstanding under Trade Receivables (Note 13) against those Advances which requires reconciliation. Ouro opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements / financial information certified by the Management.	Auto clearance of balances is under development stage and expected to be in operation very soon.															
Report on Other Legal and Regulatory Requirements																	
	As required under Section 143(5) of the Companies Act, 2013, we give in the “Annexure-A”, a statement on the directions issued by The Comptroller and Auditor General of India after complying with their suggested methodology of Audit, the action taken thereon and its impact on the accounts and financial statements of the Group.																
2.	With respect to the matters specified in Paragraphs 3(xxi) and Paragraph 4 of the Companies (Auditor’s Report) Order, 2020 (“CARO”) issued by the Central Government of India in terms of Section 143(II) of the Act, to be included by us and for its Subsidiary included in the Consolidated financial Statements of the Company issued by other auditor, to which reporting under CARO is applicable, which requires us to report the Clause numbers of the CARO Reports of the Group Companies where any qualification or adverse remarks has been reported by the respective auditors, we report as below:																
	<table><tr><th>Sl</th><th>Name</th><th>CIN</th><th>Holding Co./Subs./ Associate/ JV</th><th>Clause no. of the CARO report which is qualified or adverse</th></tr><tr><td>1</td><td>CCL</td><td>U10200JH1956GOI000581</td><td>Holding Co.</td><td>Clause 3(i)(c), 3(ii)(a)</td></tr><tr><td>2</td><td>JCRL</td><td>U45201JH2015GOI00313</td><td>Subsidiary Co.</td><td>Nil</td></tr></table>	Sl	Name	CIN	Holding Co./Subs./ Associate/ JV	Clause no. of the CARO report which is qualified or adverse	1	CCL	U10200JH1956GOI000581	Holding Co.	Clause 3(i)(c), 3(ii)(a)	2	JCRL	U45201JH2015GOI00313	Subsidiary Co.	Nil	
Sl	Name	CIN	Holding Co./Subs./ Associate/ JV	Clause no. of the CARO report which is qualified or adverse													
1	CCL	U10200JH1956GOI000581	Holding Co.	Clause 3(i)(c), 3(ii)(a)													
2	JCRL	U45201JH2015GOI00313	Subsidiary Co.	Nil													



3. As required by section 143(3) of the Act, we report that:
- We have sought & obtained all the information & explanation which to best of our knowledge and belief were necessary for purpose of our audit of the aforesaid consolidated Ind AS financial statements read with as reported in clauses (a), (b), (c), (d), (e) & (f) of the "Emphasis of Matters" paragraph above.
 - In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated Ind AS financial statements have been kept so far as appears from our examination of those books and the reports of the other auditor.
 - The reports on the accounts of the Holding company (including areas which are audited by branch auditors) audited by us and its subsidiary company incorporated in India audited under section 143(8) of the Act by other auditor have been sent to us and have been properly dealt with in preparing this report.
 - The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with relevant books of account maintained for the purpose of preparation of the consolidated IndAS financial statements.
 - In our opinion, we don't have any observation which has an adverse impact on functioning of the group.
 - In our opinion, the aforesaid consolidated Ind AS financial statements comply with the Accounting Standards specified under Section 133 of the Act read with relevant Rule issued thereunder.
 - In pursuance of the Notification No. G.S.R.463(E) dated 05.06.2015 issued by the Ministry of Corporate affairs, section 164(2) of the Act, pertaining to disqualification of Directors is not applicable to the Government company.
 - We don't have any qualification, reservation or adverse remark relating to the maintenance of accounts and the matters connected therewith.
 - With respect to the adequacy of internal financial controls over financial reporting of the Group and the operating effectiveness of such controls, refer to our separate report in **Annexure 'B'**. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Group's internal financial controls over financial reporting.



- j. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
- i. The company has disclosed its pending litigations under Additional Note 38 of the Consolidated Ind AS financial statement. The impact, if any, of these litigations will be given effect to as and when the same are determined/settled.
 - ii. The Company has made provision as required under the applicable law or accounting standards, for material foreseeable losses if any, on long term contracts and the company did not have any derivative contracts.
 - iii. As per the written representation received from the management, there were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
 - iv. (a) The Management has represented that, to the best of its knowledge and belief no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person or entity, including foreign entity ("intermediaries"), with the understanding, whether recorded in writing or other wise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("ultimate Beneficiaries") or provide any Guarantee, Security or the like on behalf of the ultimate Beneficiaries;
 - (b) The Management has represented, that to the best of its knowledge and belief no funds have been received by the company from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, the company shall, whether, directly or indirectly, lend or invest in other person or entities identified in any manner whatsoever by or on behalf of the funding party ("ultimate Beneficiaries") or provide any Guarantee, Security or the like on behalf of the ultimate Beneficiaries;



(c) Based on such audit procedures that have been considered reasonable and appropriate in the circumstance, nothing has come to our notice that has caused to believe that representations under Sub-Clause(i) and (ii) of Rule 11(c), as provided under (a) and (b) above, contain any material misstatement.

v. (a) The final dividend proposed in the previous year, declared and paid by the company during the year is in accordance with section 123 of the Act, as applicable.

(b) The interim dividend declared and paid by the Company during the year is in compliance with Section 123 of the Act.

(c) The Board of Directors of the company have proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The amount of dividend proposed is in accordance with Section 123 of the Act, as applicable.

vi. Proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 for maintaining books of account using accounting software which has a feature of recording audit trail (edit log) facility is applicable to the Company with effect from April 1, 2023, and accordingly, reporting under Rule 11(g) of Companies (Audit and Auditors) Rules, 2014 is not applicable for the financial year ended March 31, 2023

For SPAN & Associates
CHARTERED ACCOUNTANTS,
(Firm Registration No. 302192E)

Sd/-
(CA K. Chakrabarti)
Partner
(M. NO. 015363)
UDIN: 23015363BGYQYR3589

Place : Ranchi.

Dated : 13.06.2023



Annexure “A” referred to in paragraph 1 of “Report on Other Legal and Regulatory Requirements” of Independent Auditor’s Report on the Consolidated Ind AS financial statements for the year ended March 31, 2023, we report that:

Report on directions under section 143(5) of the Companies Act, 2013 in respect of M/s Central Coalfields Limited for the year 2022-23

PART-I

Sl. No.	AUDITORS’ REPORT	MANAGEMENT’S REPLY
1.	Whether the company has system in place to process all the accounting transactions through IT systems? If yes, the implication of processing of accounting transaction outside IT system on integrity of the accounts along with the financial implication, if any may be stated. <i>There is a system in place to process all the accounting transaction through SAP system. A few modules of SAP system are yet to be made fully functional. The accounting of Performance Incentive, Closing Stock valuation and OBR done through other IT system and the end result is entered in the main accounting system.</i>	No Comments.
2.	Whether there is any restructuring of an existing loan or cases of waiver / write-off of debts / loans / interest etc. made by a lender to the company due to the company’s inability to repay the loan? If yes, the financial impact may be stated. Whether such cases are properly accounted for? (In case, lender is Government company, then this direction is also applicable for statutory auditor of lender company) <i>As per information and explanations provided to us there is no such cases.</i>	No Comments.
3.	Whether funds (Grants/subsidy etc.) received/receivable for specific schemes from central/state Government or its agencies were properly accounted for/utilized as per its terms and conditions? List the cases of deviation. <i>As per information and explanation provided to us there is no such cases of deviation.</i>	No Comments.

**PART-II**

AUDITORS' REPORT		MANAGEMENT'S REPLY
	Report on additional directions under Section 143(5) of the Companies Act, 2013 in respect of M/s. Central Coalfields Limited for the year 2022-23.	
1.	Whether coal stock measurement was done based on Yellow Book? Whether physical stock measurement reports are accompanied by contour maps in all cases? Whether approval of the competent authority was obtained for new heap, if any created during the year. As per information and explanation given to us, coal stock measurement is done based on Yellow book. The physical stock measurements are done as per guideline of CIL Annual Coal Stock Measurement keeping in view the contour map which is accompanied with the measurement report. Further, any new heap is created only after approval of the competent authority.	No Comments
2.	Whether the company has conducted physical verification exercise of assets and properties at the time of merger/split/re-structure of any area. If so, whether the concerned subsidiary followed the requisite procedure. As per information and explanation given to us, Giridhi area has been merged with Dhori area with effect from financial year 2022-23 and physical verification of Assets and Properties was conducted by the area.	No Comments
3.	Whether separate escrow accounts for each mine have been maintained in CIL and its subsidiary companies. Also examine the utilization of the fund of the account. As per information and explanation given to us, Escrow Account for 66 mines has been maintained and during the year, the CCL has received sum of ₹ 5.50 crores (P.Y.- ₹ 35.30 crores) for mine closure activities after obtaining approval from the Coal Controller Office. In respect of Pindra OC Mines & Tapin South OCP Escrow account has not been opened due to non-availability of Approved PR&MCP.	No Comments



4.	Whether the impact of penalty for illegal mining as imposed by the Hon'ble Supreme court/National Green Tribunal /State Pollution control Board has been duly considered and accounted for? <i>Pursuant to the order of the Hon'ble Supreme Court of India, District Mining Offices of Jharkhand had raised a demand of ₹ 13568.50 crores for mining in excess of the environmental clearances limit in 42 mines. Against the said demand, the CCL has filed a revision petition before the Hon'ble Coal Tribunal, Ministry of Coal, Govt. of India, the adjudicating authority under the MMDR Act. The Revisional Authority vide its interim order dt.16.01.2018 has stayed the execution of the demand till further order.</i> <i>Taking into consideration of the order of the Revisional Authority, Ministry of Coal, Govt. of India vide its order dated 21/12/2021 to Damodar Valley Corporation (DVC) in a similar demand notice, the said demand has neither been acknowledged as debt nor the same has been included in Contingent Liability of the Standalone Ind AS financial statement. The said matter has been disclosed under Note 38.</i>	No Comments
5.	Whether any Independent Assessment/ Certification in respect of migration process of data from Coalnet portal to SAP has been done. <i>As per the information and explanation received Independent Assessment/ Certification in respect of migration process of data from Coal Net portal to SAP is yet to be done.</i>	The company is in process to conduct migration Audit.



Annexure – “B” referred to in paragraph 3(g) of “Report on Other Legal and Regulatory Requirements” of Independent Auditor’s Report on the Consolidated Ind AS financial statements for the year ended March 31, 2023, we report that;

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Subsection 3 of Section 143 of the Companies Act, 2013 (“the Act”)

AUDITORS’ REPORT	MANAGEMENT’S REPLY
We have audited the internal financial controls over financial reporting of ‘Central Coalfields Limited’ (“the Company”) as of 31st March 2023 in conjunction with our audit of the Consolidated Ind AS financial statements of the Company for the year ended on that date.	
Management’s Responsibility for Internal Financial Controls	
The Company’s management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (‘ICAI’). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company’s policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.	
Auditors’ Responsibility	
Our responsibility is to express an opinion on the Company’s internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the “Guidance Note”) and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.	



AUDITORS' REPORT	MANAGEMENT'S REPLY
Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Consolidated Ind AS financial statements, whether due to fraud or error. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.	
Meaning of Internal Financial Controls Over Financial Reporting A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Consolidated Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Consolidated Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Consolidated Ind AS financial statements.	



AUDITORS' REPORT	MANAGEMENT'S REPLY
Inherent Limitations of Internal Financial Controls Over Financial Reporting Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate. Opinion In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. However, further improvement is required in i) processing of salary of Piece Rate Workers through SAP (ERP). ii) mapping of MSME Vendor in SAP for compliance requirement of MSME Act 2006. iii) imposing of restriction in Accessing of SAP (ERP) through unsecured network/ connection. Our opinion is not qualified in respect of the above matter. For SPAN & Associates CHARTERED ACCOUNTANTS, (Firm Registration No. 302192E) Sd/- (CA K. Chakrabarti) Partner (M. No. 015363) UDIN: 23015363BGYQYR3589 Place: Ranchi. Dated : 13.06.2023	

**Form AOC – 1**

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Statement containing salient features of the financial statement of Subsidiaries/Associate companies/Joint ventures**Part "A" : Subsidiaries**

(Information in respect of each subsidiary to be presented with amounts in ₹ in Crores)

1.	Sl.	:	1
2.	Name of the Subsidiary	:	Jharkhand Central Railway Limited
3.	The date since when subsidiary was acquired	:	31.08.2015
4.	Reporting period for the subsidiary concerned, if different from the holding company's reporting period	:	NA
5.	Reporting currency and Exchange rate as on the last date of the relevant Financial year in the case of foreign subsidiaries	:	NA
6.	Share Capital	:	₹ 100.99 Crores
7.	Instrument entirely equity in nature	:	₹ 433.51 Crores
8.	Reserves & Surplus	:	₹ 10.55 Crores
9.	Total Assets	:	₹ 671.26 Crores
10.	Total Liabilities	:	₹ 126.22 Crores
11.	Investments	:	-
12.	Turnover	:	-
13.	Profit before Taxation	:	₹ 8.13 Crores
14.	Provision for Taxation	:	₹ 2.72 Crores
15.	Profit after Taxation	:	₹ 5.40 Crores
16.	Proposed Dividend	:	-
17.	Extent of Share holding (in percentage)	:	64.00%

Company Secretary**General Manager (F)**

**Inauguration of Executive Hostel of CCL at Gandhi Nagar, Ranchi
by Shri Pralhad Joshi, Honourable Minister of Coal,
Mines & Parliamentary Affairs, Govt. of India**





CENTRAL COALFIELDS LIMITED

(A Mini Ratna PSU)

A Subsidiary of Coal India Limited

(CIN : U10200JH1956G01000581)

Regd. Office :

Darbhanga House

Ranchi - 834 029

JHARKHAND

Website : <https://www.centralcoalfields.in>

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